

Executive Report

E-Commerce RFM Customer Segmentation & CRM Analytics

Prepared for: Executive Leadership, Olist Marketplace **Prepared by:** Mohammad Ammar — Principal Data Analytics Consultant **Repository:** ecommerce-rfm-customer-segmentation **Portfolio Context:** Project 2 of 4 — Enterprise Business Intelligence Suite

1. Purpose of This Report

This report consolidates the findings of the RFM (Recency, Frequency, Monetary) customer segmentation analysis into a single executive-facing document. It is intended to brief senior leadership on customer base composition, revenue concentration, churn exposure, and the recommended CRM response — without requiring review of the full 17-file documentation suite.

For source detail, see: Executive Summary (docs/01_Executive_Summary.md), Business Problem (docs/03_Business_Problem.md), Business Insights (docs/12_Business_Insights.md), Strategic Recommendations (docs/13_Business_Recommendations.md).

2. Analysis Scope

The analysis covers **94,989 unique customers** (`customer_unique_id` entities) and **R\$ 15,737,667.52** in total gross revenue, drawn from the Olist Brazilian E-Commerce dataset spanning September 2016 – October 2018. Customers were scored on Recency, Frequency, and Monetary dimensions and assigned to one of five behavioral segments. Full methodology is documented in docs/10_Methodology.md.

3. Segment Performance Summary

Segment	Customers	Customer Share	Revenue (BRL)	Revenue Share	ARPU (BRL)	Strategic Focus
Loyal	41,740	43.94%	R\$ 5,054,591.30	32.12%	R\$ 121.10	Cross-Selling & Upselling
Others	25,402	26.74%	R\$ 4,092,320.09	26.00%	R\$ 161.10	Nurturing & Engagement
Champions	13,354	14.06%	R\$ 4,089,088.19	25.98%	R\$ 306.21	VIP Retention & Exclusive Access
Lost	12,593	13.26%	R\$ 2,073,734.79	13.18%	R\$ 164.67	Win-Back Automation
At Risk	1,900	2.00%	R\$ 427,933.15	2.72%	R\$ 225.23	Urgent Intervention & Reactivation
Total	94,989	100.00%	R\$ 15,737,667.52	100.00%	R\$ 165.68	Portfolio Revenue Optimization

Full derivation logic is documented in docs/11_KPI_Definitions.md.

4. Key Findings

4.1 Revenue is concentrated in two segments. Loyal (32.12%) and Champions (25.98%) jointly generate 58.10% (R\$ 9.14M) of total revenue from 58.00% of the customer base. Champions alone post an ARPU of R\$ 306.21 — 1.85x the platform average of R\$ 165.68, and 2.53x the ARPU of Loyal customers.

4.2 A high-value cohort is actively slipping into churn. 1,900 customers classified At Risk carry R\$ 427,933.15 in gross sales exposure and the second-highest ARPU across all segments (R\$ 225.23), behind only Champions. This is a premium-spending cohort showing early recency decay, not a low-value group.

4.3 A large pool of historical revenue is dormant, not lost. 12,593 customers classified Lost previously generated R\$ 2,073,734.79 (13.18% of total revenue). A 5% reactivation rate on this cohort alone recovers over R\$ 103K in gross sales at effectively zero incremental acquisition cost.

4.4 The customer base is structurally single-purchase dominant. Frequency scoring required custom CASE binning rather than standard NTILE(5) quintiles because over 90% of customers in the dataset have completed only one transaction — a structural characteristic addressed directly in the SQL and Python pipelines (see docs/10_Methodology.md, docs/14_Limitations.md).

5. Financial Exposure Summary

Exposure Category	Segment	Customers	Revenue Exposure
Immediate churn risk	At Risk	1,900	R\$ 427,933.15
Trapped historical equity	Lost	12,593	R\$ 2,073,734.79
Combined revenue requiring intervention	—	14,493	R\$ 2,501,667.94

6. Recommended Executive Actions

Priority	Segment	Action	Owner
1	Champions	Launch VIP loyalty tier and priority servicing to protect R\$ 4.09M in high-margin revenue	Head of CRM
2	At Risk	Deploy 14-day inactivity win-back triggers to protect R\$ 427.93K in immediate exposure	Head of CRM / Performance Marketing
3	Loyal	Deploy cross-sell recommendation engine to lift ARPU from R\$ 121.10 toward R\$ 133+	Category & Merchant Managers
4	Lost	Automate low-cost win-back email sequences targeting a 5% reactivation rate	Performance Marketing Lead

Full campaign detail and execution roadmap: docs/13_Business_Recommendations.md.

7. Supporting Documentation

Topic	Document
Full business case	docs/03_Business_Problem.md

Quantitative targets	docs/04_Business_Objectives.md
Stakeholder requirements	docs/05_Stakeholders.md
Methodology & scoring logic	docs/10_Methodology.md
Known limitations	docs/14_Limitations.md
Interactive dashboard	https://public.tableau.com/views/RFMAnalysis_17734745913220/Dashboard4

This report is a synthesis document. It does not introduce new metrics, segments, or figures beyond those established in the underlying analytical documentation and SQL/Python outputs of this repository.